This is because the company is paying no interest on the money, and they do not have to repay the capital. Also, they get to keep the interest that this float will generate through the year.

When there is any claim, they have to repay it.

Additionally, the insurance company gets to keep the benefits earned from the 5 Lakhs. So the company can use this amount the way they want to (compliance has to be considered because this is insurance).

Let us assume that the company puts the money in a Bank deposit at a 6% FD. So after completing a year, the company will receive certain interest payment. This is the benefit we were discussing, and the company gets to keep this amount. Insurance premiums are calculated in a manner such that the total premium collected is higher than the claims that arise during the year.

This is the advantage of a float. The business gets capital where they pay no interest, uses the money, and keeps the profits from it.